

Blinkit: Q-Commerce Case Study.

Blinkit is a **10-minute** grocery and e-commerce platform that pioneered the instant delivery model in India with over **30 million+ weekly active users** shopping on Blinkit, for everything from grocery staples and vegetables to emergency supplies and electronics, and much more, delivering over **3.5 million+ orders every day**.

Problem Statement

Q-commerce's 10-minute delivery promise forces dark store density, dedicated fleets, and small basket sizes, all of which compress margins simultaneously.

As an APM at Blinkit, come up with product recommendations for increasing margins (Increasing Revenue or Reducing Costs) in 10-minute deliveries



Increasing Margin

Increasing Revenue

- To increase revenue, the most trivial way is to increase the total value of the order i.e. to **increase cart size**
- To increase revenue, Blinkit has to sell items that have a **better margin**. For example, mobile accessories and imitation jewellery have an average margin of 40-60% whereas grocery lies in the bracket of 20-30%
- USP of Blinkit is its ability to deliver in 10 minutes, this builds an impulsive behaviour in consumers – catering and **motivating impulsive buying** in consumers can encourage them to buy often
- Blinkit is perceived as an online hyperlocal grocery, emergency supplies and electronics delivery platform whereas it has **many other products** such as party corner feature which have less popularity but great potential

Reducing Cost

- Blinkit Carry Bags on each order, even on small order sizes, is a significant cost on Blinkit. **Looping out Carry Bags** from every order, especially small orders can help reduce costs.
- Blinkit's USP of 10-minute delivery helps it acquire a lot of customers and thus a lot of orders. Every Order is a whole process in itself and the delivery boy has only 6-7 minutes to take the order from the dark store to the delivery location. But not all customers, at all times, want the order to be delivered as soon as possible. Many consumers will be fine if their order is delivered in let's say **40 minutes instead of 10 minutes**. While a delivery person can wait for another order in those 40 minutes and then complete both the orders in one trip.

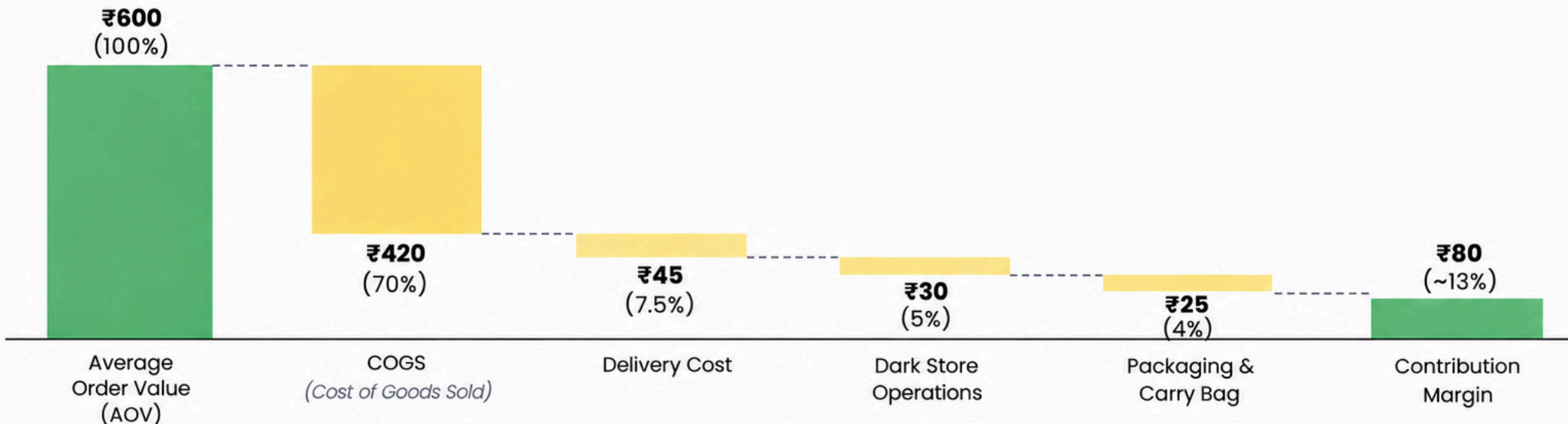
Where does the margin go?



Where the Margin Actually Goes: Blinkit's Per Order Economics

Per Order Unit Economics

(₹, % of Average Order Value)



Every lever in this deck either grows revenue or shrinks one of these four cost blocks.
That's the lens for every solution that follows.

Next: Competitive Benchmarking

How Blinkit Compares

Metric	Blinkit	Zepto	Swiggy Instamart
Daily Orders	3.4 – 3.6 million	2.4 – 2.6 million	1.3 – 1.45 million
Delivery Fee	Minimum ₹34 on orders below ₹199 (₹30 delivery + ₹4 handling)	Free delivery above ₹99	₹9.8 handling + ₹30 delivery below ₹199
Market Share	~50%	~28 – 29%	~22 – 23%
Margin Profile	EBITDA positive — ₹37 Cr adjusted EBITDA in Q4 FY26	Deep losses, high growth — loss of ₹3,368 Cr in FY25	Narrowing losses — contribution margin at -4.6% in Q1 FY26

Blinkit leads on both scale and margin discipline — while Zepto trades margin for growth and Instamart is still stabilizing its cost structure.

Next: North Star Metric



What Does Success Look Like?

North Star Metric: Contribution Margin Per Order (CMPO)

The net rupee value Blinkit retains per delivered order after variable costs. The single number all 7 solutions in this deck are designed to move.



Revenue Side

Average Order Value (AOV)

Moved by: Buy Now, Combo Store,
You Might Also Like

Cost Side

Cost Per Delivery

Moved by: Optional Carry Bag,
Optional Quick Delivery

Engagement Side

Orders Per Active User Per Month

Moved by: Restructured Categories,
Blinkit Originals

Target: Grow CMPO from ~₹80 to ₹110 in 12 months. Illustrative bridge: Carry Bag +₹10, Quick Delivery +₹5, Buy Now, Combos and You Might Also Like +₹10, Originals and Categories +₹5.

Next: Solutions Grid



Product Recommendations to Increase Margin

Each idea either grows revenue per order or cuts a cost block from the previous slides.

Problem	Solution	Problem	Solution
- delivery person executes only one delivery in one trip - small effortless orders takes times and effort of delivery person	Optional Quick Delivery - user will have the option to opt-out of flash delivery to receive order at a maximum of 2 hours for a less delivery charge - enabling multiple deliveries in one trip	A user wants to get a 10-min delivery because of the need for urgency, but one can not directly buy a single product skipping the cart	Buy Now Adding a buy now option besides 'Add' option to motivate and tap into the impulsive need of the user
- the heavy cost of providing free carry bags - providing bags, especially in small order is less feasible	Optional Carry Bag - users will have the option to opt-out of carrying bags from their order, which will not be free anymore while checking out - reducing a significant cost for Blinkit	- Different Stores as a feature is very lucrative but it is nothing but another path way to categorize products, - No combos as product	Combo Store - It will help users to buy multiple particular essentials as one product, facilitating faster purchase - Party Combo, Munchies Combo, etc.
The suggestions of other products in the cart is not relevant to the order and thus does not motivate users' impulsive nature	You might also like To add 'You might also like' section instead of 'before you checkout' with products that are relevant to my cart followed by popular products	- There is no brand building as products for Blinkit - Self-manufactured products have more margin, which is absent in Blinkit	Blinkit Originals - Blinkit's own grocery and product range - Helping achieve better margins as well as retaining more users
		Blinkit delivers a variety of categories of products, but have reduced the visibility due to bad categorising and User Interface	Restructured Categories - Defining other categories, providing more visibility to non-grocery categories such as bags, electronics, etc. - Increasing revenue from other categories

Time to Prioritize



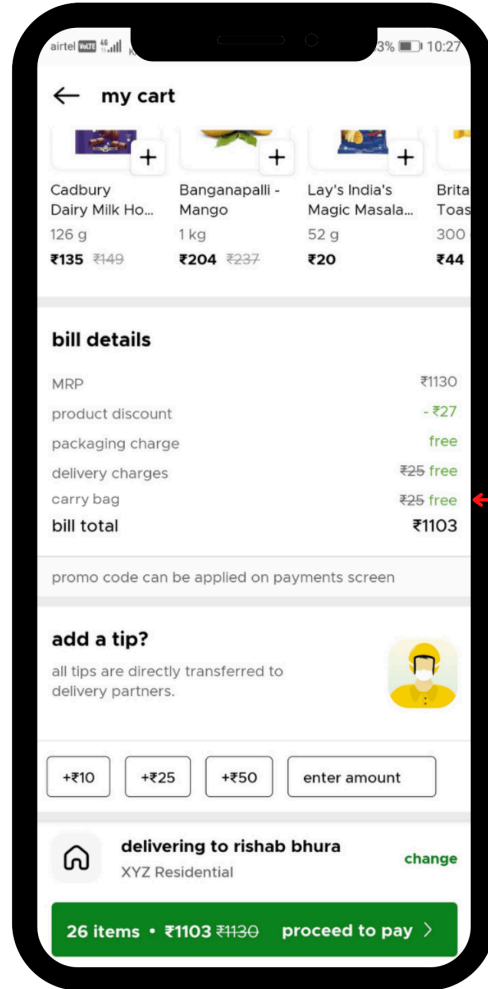
Feature	Reach	Impact	Confidence	Effort	Total	Est. Impact
Optional Quick Delivery	700	4	50	4	350	₹15 to 20 saved per batched order
Optional Carry Bag	750	5	100	3	1250	~₹15 to 25 saved per opted-out order
You might also like	600	4	80	4	480	5 to 8% AOV uplift
Buy Now	550	5	80	2	1100	8 to 12% lift in impulse conversions
Store Combos	400	3	100	2	600	10 to 15% AOV increase for engaged users
Blinkit Originals	350	4	80	5	224	Est. 25 to 30% gross margin on private label SKUs
Restructured Categories	400	3	50	5	120	3 to 5% increase in orders from under-indexed categories

Optional Carry Bag and **Buy Now** are the top two priorities.

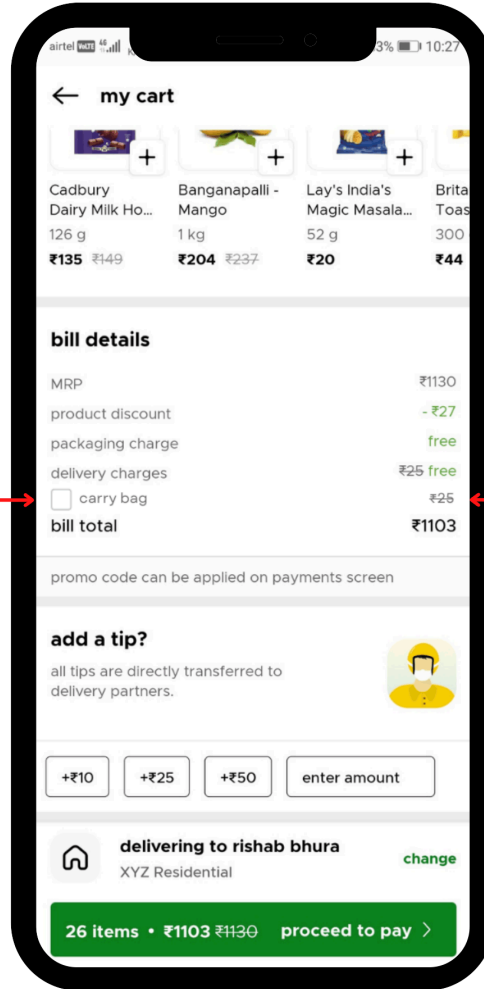
Score = (Reach × Impact × Confidence%) ÷ Effort

Detailed Solutions

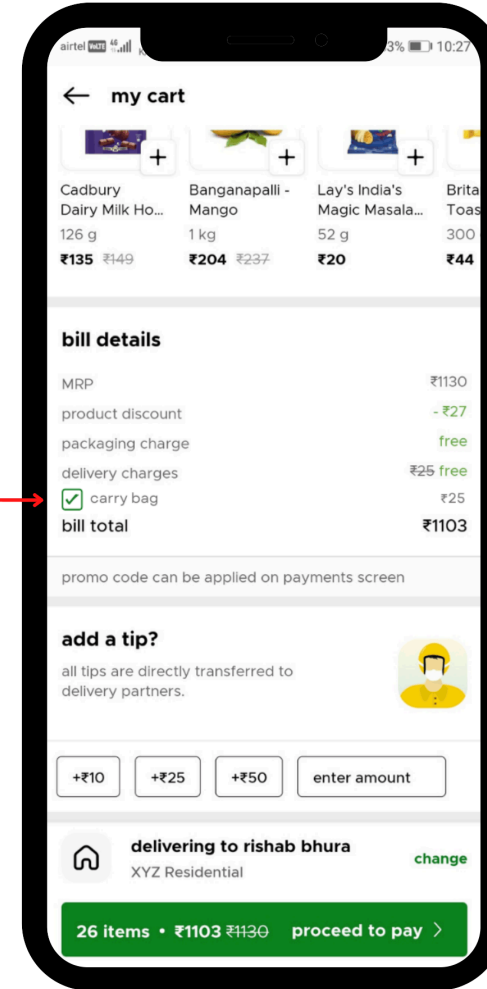




*Carry bag free because of some offer



*Carry bag not selected



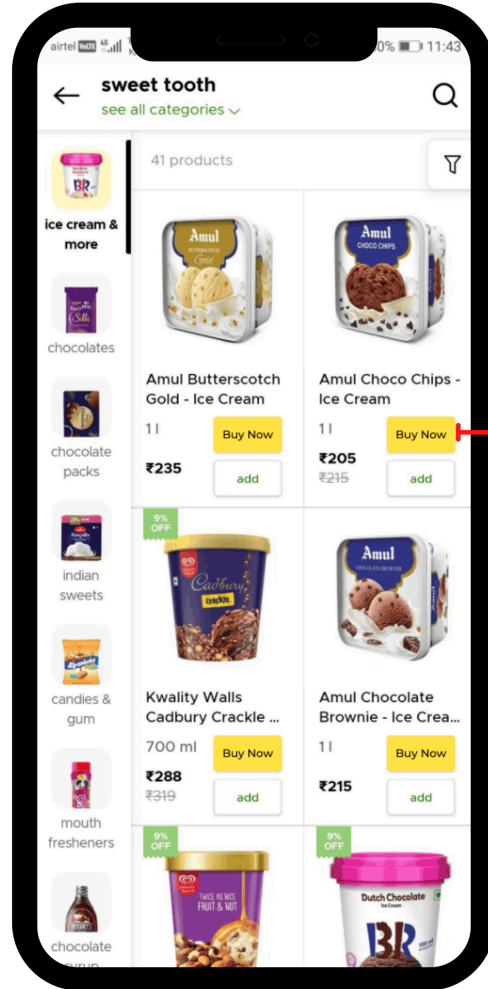
*Carry bag selected and also charged

Optional Carry Bag

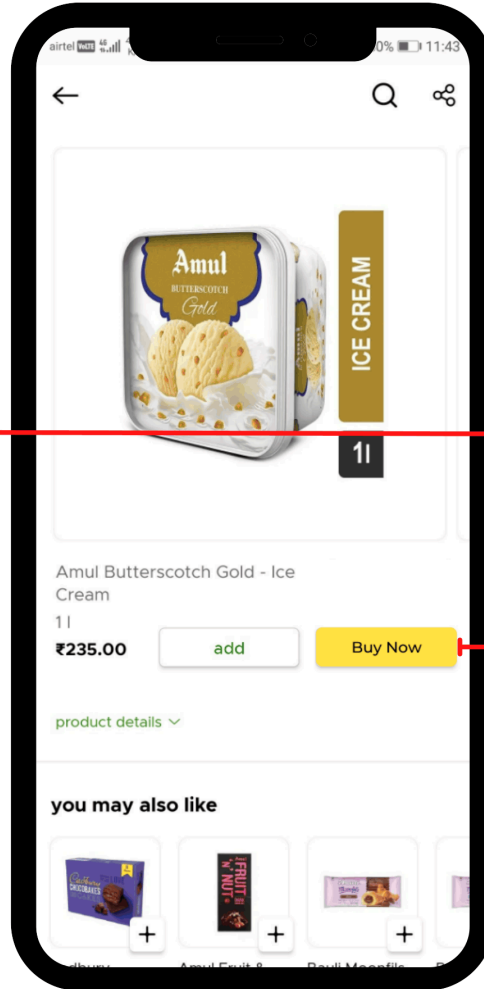
- Users will have the option to **opt-out of carrying bags** from their order, which will not be free anymore while checking out
- There is a **small checkbox** in the checkout, where one can uncheck it to skip buying carry bags
- The items will be carried by the delivery agent in his big delivery bag, and only the products will be delivered to the user in case of not buying a carry bag
- It is just to create in a sense within the customers that **carry bag is also a premium service** and should be charged like delivery

Solutions in Detail

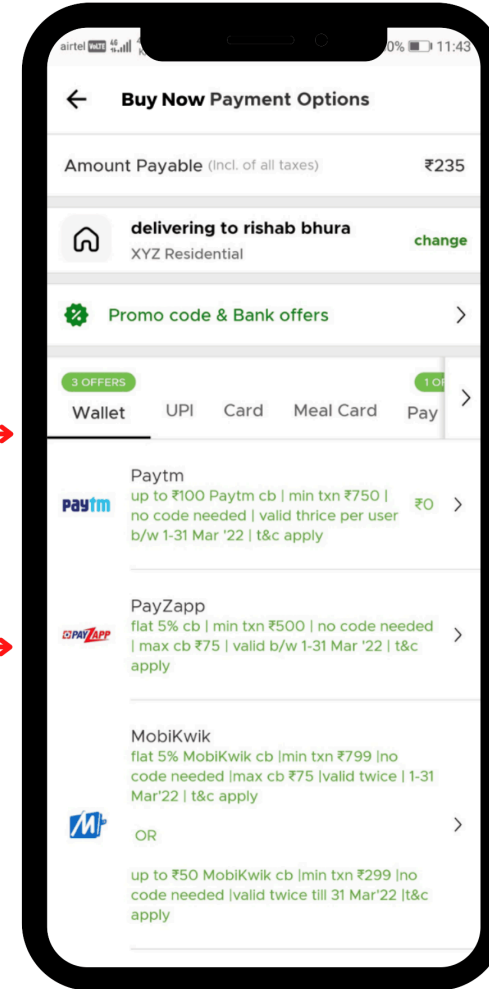




*Buy Now option directly while browsing



*Buy Now Option in product view mode



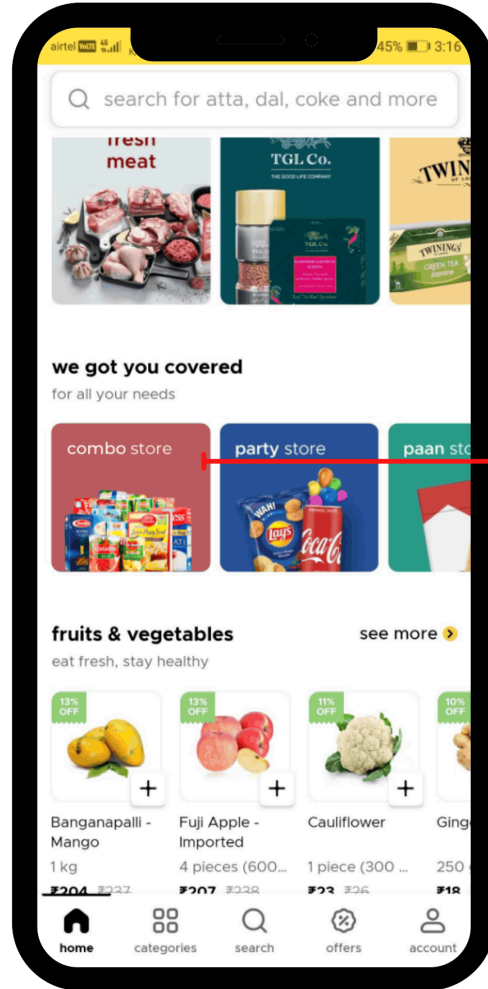
*Buy Now Payment Window, which directly opens if a user clicks on 'Buy Now'. The delivery address also appears on this screen to reduce touchpoints and faster purchase

Buy Now

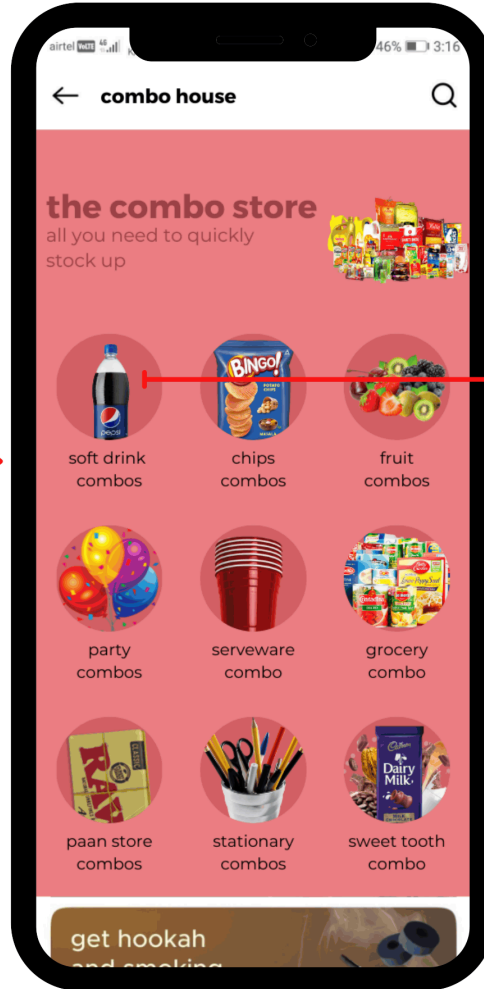
- Users will always be shown two options while viewing a product, 'Add' and 'Buy Now', which will **directly redirect to the payment page** with the default address
- Buy Now will tempt users to **impulsively buy products**. For ex - user is using Blinkit and saw 'Dairy Milk' and had an instant craving for it - 'Buy Now' option with 10 minute delivery will ensure we tap better into such opportunities
- We can A/B test if we should let users buy now only one quantity of a particular product or multiple quantity of one product through some easier UI

Solutions in Detail

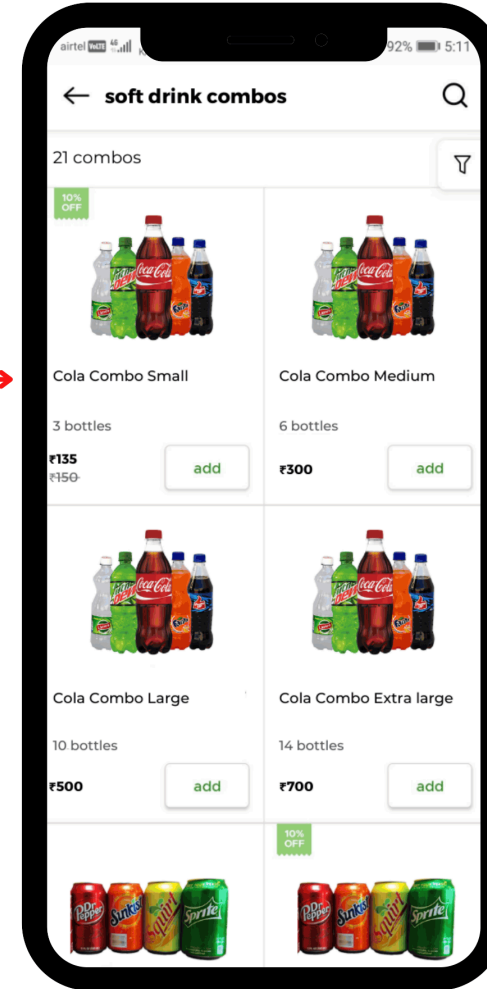




*Combo Store in Home Page



*Various Categories of Combos



*Various Combos in a combo category

Combo Store

Use Case - I am a party host, and my soft drinks and munchies are about to finish but the party has just started. I open Blinkit to get flash delivery, but choosing 1-1 product and quantities would only take 5 minutes in total - **Combo Store** has all various combos with various sizes to cater for **all quick needs**.

- Soft Drink Combo
- Munchies Combo, etc in
 - 1.small
 - 2.medium
 - 3.large
 - 4.extra large sizes

- This will increase the **number of big orders, increasing revenue**

Success Metrics



How We Will Measure Success

Feature	Primary Metric	Secondary Metric	Guardrail
Optional Carry Bag	Cost per order: ₹15 to 25 lower per opted-out order	Opt-out rate: 50 to 60% of orders in 3 months	Customer satisfaction score (CSAT) must not drop
Buy Now	Impulse conversion: 8 to 12% lift	Average order value: 5 to 8% higher	Cart abandonment must fall, not rise
Combo Store	Average order value: 10 to 15% higher than non-users	Cross-category orders: 20% of Combo sessions	Return rate on bundled items must stay flat

Next: Risks and Guardrails



What Could Go Wrong

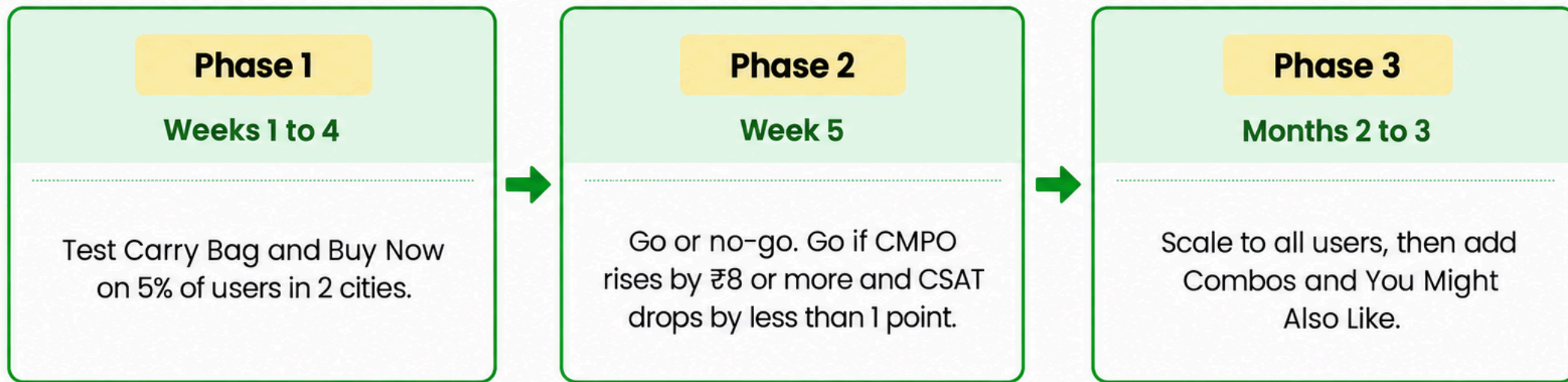
Feature	Main Risk	Early Warning Signal
Optional Carry Bag	Users feel nickel-and-dimed and satisfaction drops	CSAT and repeat order rate
Buy Now	Accidental orders and more refunds	Cancellation rate and refund rate
Store Combos	Irrelevant bundles that get returned	Return rate on combo items
Optional Quick Delivery	Weakens the 10-minute brand promise	Share of users choosing slow delivery and delivery complaints

If a guardrail moves the wrong way in the test, we pause the rollout.

Next: Rollout Plan



How We Would Roll This Out



Not now: Blinkit Originals, Restructured Categories and Optional Quick Delivery. High effort and lower confidence, revisit after Phase 3.

Next: Key Takeaways



Key Takeaways

Margins are thin

Contribution margin is about 13%, so a ₹10 saving per order moves the business.

Start with two bets

Optional Carry Bag and Buy Now have the highest RICE scores and the lowest effort.

Prove it before scaling

A 4-week test with clear guardrails decides what gets rolled out.

Thank You



Thank You

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IIT (ISM) Dhanbad

Grow contribution margin per order, one small change at a time.

